

Zephyrax Industrial Holdings, LLC

MEMORANDUM

To Audit file
From Carol Zelvane, Controller
Date 01/30/2026
Re Allowance for credit losses under ASC 326 - 12/31/2025

1. SCOPE AND POOLING

This memo documents management's estimate of expected credit losses on trade receivables as of 12/31/2025. Receivables share similar risk characteristics within aging bands, so the portfolio is pooled by days past due: current, 1-30, 31-60, 61-90, over-90. Balances are aged from the due date.

2. METHODOLOGY

Expected loss rates are applied to each pool's open exposure. The rates reflect the collection history of each aging band, with older receivables carrying progressively higher expected loss content, and are reviewed annually against subsequent collections, write-offs, and recoveries retained by aging cohort. The prior-year reserve and sensitivity columns below are the annual back-test controls. Receivables with known collection risk carry a specific reserve in place of the pool rate; none were identified this year.

3. LOSS-RATE SUPPORT AS OF 12/31/2025

Aging pool	Exposure	Loss rate	Prior reserve	Reserve	Sensitivity
current	106,535.63	0.00%	0.00	0.00	1,065.36
1-30	41,948.77	5.00%	4,321.61	2,097.44	419.49
31-60	14,137.76	20.00%	7,058.06	2,827.55	141.38
61-90	5,088.16	50.00%	5,158.16	2,544.08	50.88
over-90	22,745.67	100.00%	46,117.17	22,745.67	227.46
Total	190,455.99			30,214.74	

Historical cohort calculation retained for the annual back-test:

The supporting allowance workbook retains 15 annual exposure-cohort rows and 24 customer/invoice-level write-off and recovery events, including dates, approval references, and source-ledger references. The table below is their pool-level reconciliation.

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
current	2022-01-01 through 2024-12-31	450,000.00	0.00	0.00	0.00	0.00%
1-30	2022-01-01 through 2024-12-31	290,000.00	33,250.00	18,750.00	14,500.00	5.00%

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Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
31-60	2022-01-01 through 2024-12-31	240,000.00	123,000.00	75,000.00	48,000.00	20.00%
61-90	2022-01-01 through 2024-12-31	240,000.00	307,500.00	187,500.00	120,000.00	50.00%
over-90	2022-01-01 through 2024-12-31	320,000.00	695,000.00	375,000.00	320,000.00	100.00%

Independent direct-source reperformance:

Pool	Direct source	Exposure	Recomputed	Recorded	Difference	Result
current	Confirmation reference History Ledger 2025 001; Confirmation reference Specific Risk 2025 001; Confirmation reference Economic Overlay 2025	106,535.63	0.00	0.00	0.00	passed
1-30	Confirmation reference History Ledger 2025 002; Confirmation reference Specific Risk 2025 002; Confirmation reference Economic Overlay 2025	41,948.77	2,097.44	2,097.44	0.00	passed
31-60	Confirmation reference History Ledger 2025 003; Confirmation reference Specific Risk 2025 003; Confirmation reference Economic Overlay 2025	14,137.76	2,827.55	2,827.55	0.00	passed
61-90	Confirmation reference History Ledger 2025 004; Confirmation reference Specific Risk 2025 004; Confirmation reference Economic Overlay 2025	5,088.16	2,544.08	2,544.08	0.00	passed
over-90	Confirmation reference History Ledger 2025 005; Confirmation reference Specific Risk 2025 005; Confirmation reference Economic Overlay 2025	22,745.67	22,745.67	22,745.67	0.00	passed

4. FORWARD-LOOKING CONSIDERATIONS

Current-year conditions did not require a qualitative overlay for 2025: industrial-customer concentration, collection cadence, steel-price volatility, and current manufacturing demand affecting the trade receivables base are consistent with the historical period underlying the pool rates, so no adjustment to the historical loss rates was recorded.

5. CONCLUSION

The recorded allowance equals the pool-level estimate above and is reassessed at each reporting date.

Recorded allowance	30,214.74
Judgmental sensitivity (not a known misstatement)	1,904.57
Known best-estimate difference	0.00

6. SUBSEQUENT-COLLECTION AND SPECIFIC-RISK REVIEW

The following invoice-level back-test matches cash applications through 02/17/2026 to the year-end aging and documents the specific-risk conclusion for each remaining open item.

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-50012	current	3,843.96	0.00	3,843.96	Covered by aging-pool reserve; no specific-loss indicator
INV-49998	current	5,090.40	5,090.40	0.00	Collected after year end; no specific reserve
INV-49928	current	2,107.50	2,107.50	0.00	Collected after year end; no specific reserve
INV-50009	current	2,964.30	0.00	2,964.30	Covered by aging-pool reserve; no specific-loss indicator
INV-50015	current	5,592.04	5,592.04	0.00	Collected after year end; no specific reserve
INV-50001	current	4,102.95	4,102.95	0.00	Collected after year end; no specific reserve
INV-49993	current	5,987.20	5,987.20	0.00	Collected after year end; no specific reserve
INV-49964	current	3,697.56	3,697.56	0.00	Collected after year end; no specific reserve
INV-50016	current	5,832.74	5,832.74	0.00	Collected after year end; no specific reserve
INV-50004	current	4,985.96	4,985.96	0.00	Collected after year end; no specific reserve
INV-50008	current	5,410.36	5,410.36	0.00	Collected after year end; no specific reserve
INV-50011	current	5,110.08	5,110.08	0.00	Collected after year end; no specific reserve
INV-49970	current	4,192.64	4,192.64	0.00	Collected after year end; no specific reserve
INV-50005	current	3,665.99	0.00	3,665.99	Covered by aging-pool reserve; no specific-loss indicator
INV-49918	current	6,588.32	6,588.32	0.00	Collected after year end; no specific reserve
INV-50007	current	2,878.39	2,878.39	0.00	Collected after year end; no specific reserve
INV-49996	current	5,861.53	5,861.53	0.00	Collected after year end; no specific reserve
INV-50002	current	6,237.20	0.00	6,237.20	Covered by aging-pool reserve; no specific-loss indicator
INV-50003	current	2,512.12	2,512.12	0.00	Collected after year end; no specific reserve
INV-49997	current	4,436.77	4,436.77	0.00	Collected after year end; no specific reserve
INV-50017	current	4,634.55	4,634.55	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-49994	current	6,854.24	6,854.24	0.00	Collected after year end; no specific reserve
INV-49914	1-30	3,238.11	0.00	3,238.11	Covered by aging-pool reserve; no specific-loss indicator
INV-49983	current	3,948.83	3,948.83	0.00	Collected after year end; no specific reserve
INV-49917	1-30	4,176.29	4,176.29	0.00	Collected after year end; no specific reserve
INV-49899	1-30	2,566.30	2,566.30	0.00	Collected after year end; no specific reserve
INV-49921	1-30	6,826.90	0.00	6,826.90	Covered by aging-pool reserve; no specific-loss indicator
INV-49940	1-30	6,335.12	6,335.12	0.00	Collected after year end; no specific reserve
INV-49901	1-30	4,016.26	4,016.26	0.00	Collected after year end; no specific reserve
INV-49956	1-30	5,735.98	5,735.98	0.00	Collected after year end; no specific reserve
INV-49948	1-30	5,785.87	0.00	5,785.87	Covered by aging-pool reserve; no specific-loss indicator
INV-49858	1-30	3,267.94	3,267.94	0.00	Collected after year end; no specific reserve
INV-49844	31-60	5,491.54	5,491.54	0.00	Collected after year end; no specific reserve
INV-49841	31-60	2,530.08	2,530.08	0.00	Collected after year end; no specific reserve
INV-49881	31-60	6,116.14	6,116.14	0.00	Collected after year end; no specific reserve
INV-49810	61-90	5,088.16	5,088.16	0.00	Collected after year end; no specific reserve
INV-49717	over-90	2,150.87	2,150.87	0.00	Collected after year end; no specific reserve
INV-49533	over-90	5,148.70	5,148.70	0.00	Collected after year end; no specific reserve
INV-49513	over-90	5,148.70	0.00	5,148.70	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-49516	over-90	5,148.70	5,148.70	0.00	Collected after year end; no specific reserve
INV-49528	over-90	5,148.70	5,148.70	0.00	Collected after year end; no specific reserve

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